Transcript Summary of JAMES GOODSON

Deponent: JAMES GOODSON

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p.1:1-25, p.2:1-25, p.3:1-25, p.4:1-25, p.5:1-25	The deposition of James Goodson was convened remotely on July 7, 2022, before court reporter Carol Connolly, commencing at 10:05 a.m. under the Federal Rules of Civil Procedure. Counsel present included Justin DeLuca of Ellis Legal, PC for the Plaintiff; Steven E. Clark of Clark Law Firm, PLLC for the deponent; Courtney D. Tedrowe of Michael Best & Friedrich, LLP for the Defendant in the Illinois litigation; and Monica A. Fitzgerald of Vorys Sater Seymour & Pease, LLP for the Defendant in the Texas litigation. The record listed numerous exhibits marked for identification, including various emails between Rush Goodson, Jack McNeff, Matthew Long, Angela Hoenig, and others, spanning dates from April 2017 to April 2021, as well as spreadsheets and commission plans. The index reflected that Mr. Tedrowe would conduct the examination, and the exhibits included interrogatory answers, letters, complaints, and financial documents. The procedural groundwork established the parties, counsel, and documentary evidence to be addressed during the deposition.
p.18:1-25, p.19:1-25, p.20:1-25	The witness confirmed producing two audio recordings, one titled “Melissa call, 04_16_21, bonus and plan.MP3,” which captured a conversation with Melissa Dummer on or about April 16, 2021. He stated that he made the recording using a phone app, though he could not recall the app’s name. The purpose was to document whether bonuses had been earned, as he believed the 2021 compensation plan presentation contained inaccurate sales figures. He explained that prior to early 2021, he had not recorded calls with Nasco Healthcare or Simulaids employees. The decision to begin recording followed receipt of the 2021 comp plan, which he felt misrepresented sales data. He acknowledged not informing Ms. Dummer about the recording, reasoning that he wanted her to feel comfortable and did not believe disclosure was necessary. He admitted to having five or six recordings in total, all related to compensation issues arising in 2021.
p.21:1-25, p.22:1-25, p.23:1-25	The witness testified that he still possessed all five to six recordings, stored digitally on his home computer, and had not deleted any. Counsel noted only two recordings had been produced: the Melissa call and a file titled “sales meeting, Ken, 02_03_21.XLSX.” The witness clarified that most recordings were made via the phone app, but the February 3, 2021 meeting with Ken was recorded using a desk voice recorder during a Zoom session. He explained that the meeting discussed the 2021 comp plan based on 2019 sales numbers, and he recorded it because the team had requested supporting sales data for 2019 but had not received it. He believed the 2019 data was inaccurate and relevant to the 2021 plan, noting they were not paid on those figures. He did not inform Mr. Long or Ms. Hoenig that he was recording the meeting. Counsel requested production of the remaining recordings and reserved the right to continue the deposition after review.
p.25:1-25, p.26:1-25, p.27:1-25	Shifting to prior employment, the witness stated he worked at CAE Healthcare as a regional sales manager for approximately six years before joining Simulaids. His responsibilities included territory sales, training, demos, and trade show support, with a base salary plus tiered commissions starting at 2% and increasing to 3% after certain thresholds. He sold simulation products such as manikins, warranties, educational modules, and software upgrades. He confirmed earning commissions on all sales in his territory, including those he did not directly facilitate, but not on distributor or dealer sales. CAE manufactured the products he sold and purchased certain components, such as arms and legs for manikins, from Simulaids/Nasco as an OEM. He did not manage other sales representatives but worked alongside an inside customer support department that could generate quotes and receive sales.

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p.28:1-25, p.29:1-25, p.30:1-25	The witness recalled first meeting Ms. Hoenig and Mr. Long at a trade show in mid-2017, having had no prior communication with either. He described himself as a colleague rather than a social acquaintance of Ms. Hoenig and stated he did not socialize with her or Mr. Long outside of work. His interest in Simulaids stemmed from over seven years' experience in high-fidelity simulation sales and a desire to explore market opportunities. He learned of Simulaids' hiring needs at an international simulation trade show in San Diego, where Hugo Azevedo approached him and suggested meeting with Jack McNeff. This meeting took place at the conference, leading to discussions about his background and potential fit for the company.
p.31:1-25, p.32:1-25, p.33:1-25	The witness recounted that during the hotel room meeting with Mr. McNeff, McNeff mentioned Simulaids' plan to manufacture and sell a high-fidelity simulator and believed the witness's sales and marketing experience would help grow the company's infrastructure. The product was later identified to him as "Alex." He did not recall detailed discussion of compensation or specific job duties at that time. Approximately two weeks later, he had a phone call with McNeff that delved deeper into his expectations, including desired compensation and commission structure. He stated he was seeking a total annual compensation package of $150,000, based on his CAE earnings, which averaged over $200,000 in recent years with a base salary around $73,000 to $75,000. He clarified that the $150,000 figure was a target based on commissions, not a guaranteed salary, and understood actual earnings would depend on sales performance. Subsequent calls focused on arranging interviews in New York, with job responsibilities discussed during the visit but compensation addressed only after returning.
p.58:1-25, p.59:1-25, p.60:1-25	The witness testified that one of his focuses at Simulaids was selling the Alex high-fidelity simulation manikin, developed by McNeff or Hugo Azevedo. He stated that his hiring was based on his high-fidelity background and sales knowledge within corporate structures, and that prior to his hiring, the company had no sales representatives or territory managers. He understood that the creation of his role was intended to expand the market through direct sales. The witness confirmed that Simulaids sought to drive direct sales not only of Alex but also Smart Stat and other product lines. Defendant's Exhibit 4, listing his responsibilities as Territory Manager, was introduced and recognized by the witness as accurate. He also confirmed sending an email to Lee Johnson on January 14, 2021, outlining two alternative compensation plans developed with Angela and Matt in response to dissatisfaction with the 2021 plan structure.
p.61:1-25, p.62:1-25, p.63:1-25	The witness described Simulaids' sales channels from 2017 to 2020, which included intercompany sales to Fort Atkinson, international sales, OEM sales, and direct sales to end users such as fire departments and hospitals. He confirmed sales to dealers and distributors and noted uncertainty about when online purchasing became available. He explained that products were sold via catalog, with customer service providing quotes, and that Fort Atkinson's healthcare line had similar customer types but no direct representatives. The catalog included Life/form, Simulaids, and educational products. Customers could purchase through him, customer service, or possibly online. He stated that Fort Atkinson could process orders for Simulaids products and vice versa, with intercompany transfers between Wisconsin and New York, though he was unsure of the exact payment arrangements. He identified Fort Atkinson's sales platform as P-8 and Simulaids' as MAPICS or N4 ERP.

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p.66:1-25, p.67:1-25, p.68:1-25	The witness confirmed that intercompany sales processes were consistent during his employment. He discussed his offer letter, which provided a base salary of $80,000 and commissions, and confirmed he was hired as an employee rather than an independent contractor. He received combined payments for salary and commissions, with itemized commission amounts shown on paychecks. Before signing the offer letter, he understood he would sell both Simulaids and Life/form healthcare products. He recalled that his commission structure included 4% on Alex sales, 4% on Smart Stat, and 2% on station trainers, as outlined in a commission contract. He believed he, Ms. Hoenig, and Mr. Long had identical commission structures, based on discussions and his knowledge of standard commission plans.
p.69:1-25, p.70:1-25, p.71:1-25	The witness explained that commissions were based on the ship-to location within his territory, and he did not receive commissions on OEM, international, or dealer/distributor sales. However, he claimed entitlement to commissions on certain dealer sales, alleging misclassification of end-user accounts as dealers in the QLIK database, which combined N4 and P-8 sales data. He stated that colleges, schools, and businesses in his territory were incorrectly categorized as dealers, and that such sales should have been treated as direct end-user sales. He also mentioned a wrongful termination claim. He had not quantified the dollar value of these misclassified sales due to lack of access to ERP sales data for 2017–2020, which he said was necessary for calculation.
p.74:1-25, p.75:1-25, p.76:1-25, p.77:1-25	The witness confirmed that his claim excluded OEM, international, and correctly classified dealer/distributor sales, but included all other sales within his territory regardless of his involvement. He described the concept of a “protected territory” as meaning any sale within the territory generated a commission, a term he first heard in 2007 in the healthcare sales industry. He recalled hearing it during a 2018 meeting with Jack McNeff, Angela, and Matt, where they discussed missing sales routed through Wisconsin. He reiterated that his claim sought commissions on misclassified dealer sales to end users in his territory, and that he had not been provided the necessary ERP data to quantify the claim.
p.78:1-25, p.79:1-25, p.80:1-25	The witness explained that “missing sales” referred to product sales occurring in Wisconsin for which he did not receive commission credit. He recalled a meeting with Angela Hoenig, Matt Long, and Jack McNeff during a regular sales call, lasting approximately 30 to 45 minutes, conducted by phone rather than video. The primary topic was confirmation of his “protected territory,” a term all participants understood without further definition. He stated that either he, Hoenig, or Long used the phrase during the call, asking McNeff directly if they had a protected territory, to which McNeff affirmed. The witness could not recall the exact wording used, nor what prompted the meeting, and confirmed that no notes, recordings, agendas, or minutes were prepared. He also testified that he had nothing in writing using the phrase “protected territory” in connection with his employment at Simulaids.

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p.81:1-25, p.82:1-25, p.83:1-25	The witness stated that during the meeting with McNeff, he was told they would be paid commissions for any product sales in their territory. He confirmed that typical sales calls covered opportunities, trade shows, customer support issues, and territory matters, and believed those topics were addressed in this call. He had no notes or recordings from the meeting and did not know if others did. After a short break, counsel confirmed he was still under oath and introduced Exhibit 23, an email from his Simulaids account dated April 27, 2017. The exhibit also contained his offer letter. The witness acknowledged sending the email and recognized the offer letter, confirming his signature. Counsel then shifted to his claim that certain sales were miscategorized as dealer/distributor sales, including some to colleges, universities, and businesses. He could not recall specific names without reviewing ERP data, noting that QLIK reports had been found inaccurate during mediation.
p.84:1-25, p.85:1-25, p.86:1-25	The witness confirmed that QLIK reports produced by the defendant were the source of his initial assumption about miscategorized accounts. He stated that beyond colleges, universities, and businesses, he could not recall other categories of end users affected. He would need ERP sales data to verify accuracy. Exhibit 24, an Excel file titled "Domestic Commission Schedule – Sample," was introduced, containing three sheets: Sales and Product Profit Analysis, New Product Sales, and Salesperson 1 – Base Sales. The witness recognized it as a spreadsheet sent by McNeff before his hire date, which he had requested to see 2016 sales numbers. He confirmed it appeared to be the same document, though he had not reviewed all tabs before. He stated McNeff did not explain the spreadsheet prior to his joining Simulaids, and that he focused on the first and third sheets, glancing only at the new product sales tab.
p.87:1-25, p.88:1-25, p.89:1-25	The witness testified that the spreadsheet was relevant to his decision to join Nasco Healthcare because it showed 2016 sales for the northeast territory, which he believed to be Angela Hoenig's territory. He understood the data to represent direct sales of Simulaids and Life/form products, including Fort Atkinson sales, and excluding OEM and intercompany sales. He believed it included all other healthcare sales into the territory, including internet sales, but not non-healthcare products. He had asked McNeff for a report showing all healthcare sales for his territory, and this spreadsheet was provided. He did not recall receiving a cover email explaining the spreadsheet, nor did he have further communications with McNeff about it. He stated there were no other spreadsheets received before his employment, though he later requested one for his own territory.
p.90:1-25, p.91:1-25, p.92:1-25	The witness reiterated that Fort Atkinson was associated with Life/form products and that he considered Simulaids and Life/form to be the same entity for purposes of sales data. He believed the $4.96 million figure in cell B8 represented total healthcare sales for the northeast territory in 2016, including Fort Atkinson sales, and excluding OEM and intercompany sales. He stated that McNeff told him to base his employment decision on this spreadsheet. He reviewed the first and third sheets in detail, focusing on commissions for products, and believed the data reflected direct sales only, not distributor or international sales. He confirmed that he did not focus on the new product sales sheet because it pertained to the northeast territory, which was not his own.

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p.93:1-25, p.94:1-25, p.95:1-25	The witness confirmed that his request to McNeff was for all healthcare sales into his territory, including Fort Atkinson sales, and that the spreadsheet was produced based on Angela Hoenig's territory. He assumed the commission on base sales shown for Angela's territory could be extrapolated to estimate potential earnings in his own territory. He explained that "commission on base sales" referred to products outside the commission schedule for specific items like Alex and Smart Stat, including station trainers and certain manikins. Station trainers could include IV arms, moulage, or wounds used in simulation labs. He understood the commission rate to be 2 percent, but did not know the total base sales figure used to generate the $10,000 commission shown. Counsel calculated that 2 percent of $500,000 would yield $10,000, which the witness agreed sounded correct.
p.98:1-25, p.99:1-25, p.100:1-25	The witness discussed his review of a spreadsheet showing commission calculations, confirming he did not recall computing the number of Alex units needed to reach the stated $31,073 figure. He acknowledged that, had he done the calculation, he would have realized the gross base sales figure used for his 2 percent commission was $500,000. He stated he had a commission schedule that outlined per-product commission rates, which he received around the same time or before the spreadsheet. When asked about a $5.175 million figure for Nasco Healthcare base sales, he initially believed it reflected an increase in territory expectations but then corrected himself, stating it represented gross profit and cost of goods percentages. He confirmed that he did not focus on those percentages when deciding to accept employment at Simulaids and that his understanding of commission on Alex sales was based on Angela Hoenig's territory sales and the commission she received.
p.101:1-25, p.102:1-25, p.103:1-25	The witness testified that the spreadsheet represented an annualized demonstration of potential compensation based on northeast territory numbers, specifically 2016 sales data. He stated that the only relevant data point for his decision to join Simulaids was the 2016 northeast territory sales figure, which he used to estimate potential earnings in his own territory. He believed that all direct sales, including Fort Atkinson and Saugerties sales, would be commissionable, excluding dealer, OEM, and intercompany sales. He explained that the lowest commission rate he was entitled to was 2 percent, applicable to certain low-fidelity products, and calculated that applying 2 percent to $4.968 million in sales would yield just under $100,000 in commissions. He confirmed that he expected at least that amount annually if he met sales targets, though he did not rely on other figures in the spreadsheet because they were based on northeast territory data.
p.104:1-25, p.105:1-25, p.106:1-25	The witness confirmed his belief that he was entitled to at least a 2 percent commission on all sales in his territory each year. He recalled extrapolating from the $5 million in 2016 northeast territory sales to estimate his own territory could generate $2 million, equating to $40,000 in commissions. He admitted lacking historical data to support this projection but felt confident in the estimate. He stated that he discussed the spreadsheet with Ms. Hoenig and Mr. Long after filing his case, learning that they may have received similar documents. He also reviewed a commission schedule, identified as Defendant's Exhibit 25, which outlined percentage payouts for various products, quarterly bonuses, and over-plan increases. He did not focus on the first bullet point in the schedule, which set a sales goal of $860,000 for his territory in 2017.

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p.107:1-25, p.108:1-25, p.109:1-25	The witness explained that the commission plan had separate goals for Alex and Smart Stat products, later combined in 2018 into a single goal of 22 units annually. He understood that selling six units in a quarter, in any combination of Alex or Smart Stat, would qualify him for a $5,000 quarterly bonus. He confirmed that Alex sales up to 37 units per year earned a 4 percent commission, with sales above that threshold earning 6 percent, though he did not believe he ever exceeded 37 units in a year. He claimed part of his case involved missed bonuses despite meeting goals, citing an internal Nasco financial document sent to Eagle Tree that described an "all or none" bonus structure based on annual goals rather than quarterly performance. He stated that in one year, possibly 2018 or 2019, he met the 22-unit annual goal and was entitled to a $20,000 bonus but was not paid.
p.110:1-25, p.111:1-25, p.112:1-25, p.113:1-25	The witness testified that no one at Simulaids or Nasco told him during his employment that the 22-unit goal was annual rather than quarterly. He reviewed the commission schedule's bullet point on dealer sales, which promised a 2 percent commission on increases over plan, but stated he never received such payments and was not provided dealer sales figures for his territory. He understood "station trainers, 2 percent" to mean that all low-fidelity products, including Life/form items, earned a 2 percent commission, and confirmed this formed part of his claim for commissions on all qualifying sales in his territory. He also described a "selected items, 10 percent" bullet point, meaning promotional products would earn a 10 percent commission, but recalled only one instance in late 2020 when such an offer was made, and he did not sell any of those items. He stated that he did not know if any selected items were sold in his territory and that this bullet point was not part of his claim.
p.138:1-25, p.139:1-25, p.140:1-25, p.141:1-25	The witness testified that monthly commission reports transitioned to a quarterly format around the second quarter of 2020. She stated that the reports from McNeff were understood to reflect all sales in her territory eligible for commission, including those processed through Fort Atkinson, though she never confirmed this directly with him. She later realized in 2019 that certain Life/form product sales used different item numbers, which led her to question whether all sales were being captured. Exhibit 27, an email from McNeff dated December 21, 2017, was introduced, showing a commission spreadsheet for "salesman 700," her MAPICS code. She confirmed that some Fort Atkinson sales were personally facilitated and explained that she ensured commissions were paid by tracking certain sales, such as Alex sales, through education accounts. Exhibit 28, a commission schedule for products sold in her territory, was marked, and she described reviewing such reports to verify commission percentages and confirm inclusion of known sales, often cross-checking with Salesforce data.
p.142:1-25, p.143:1-25, p.144:1-25, p.145:1-25	The witness explained that when tracking sales in Salesforce, she compared them to McNeff's reports and raised discrepancies with him if known sales were missing. She denied knowledge of whether McNeff had visibility into Fort Atkinson sales or access to the P-8 system. Exhibit 29, a December 21, 2017 email exchange with McNeff, was introduced, in which she thanked him for a commission spreadsheet and asked about payment for a UT Southwestern order. She explained that report headers varied and she preferred institution names to identify commissions. McNeff's follow-up email asked if she had any sales he did not know about, which she assumed meant there might be sales he could not see. She acknowledged confusion about why he asked, noting that commissions were owed on all territory sales regardless of her involvement. She confirmed understanding that "Nasco" referred to Fort Atkinson and "Simulaids" to Saugerties, each with different ERP systems.

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p.146:1-25, p.147:1-25, p.148:1-25, p.149:1-25	Exhibit 31, an email in which she told McNeff she had not received her March commission report, was introduced; he apologized and sent it. She confirmed that reports were sometimes delayed and she would remind him to send them. She described raising missing sales with him when customer purchase orders she handled did not appear in reports, and stated he was generally responsive. Exhibit 32, the March 2019 commission report, was marked, and she identified it as typical of what she received. She reviewed such reports to ensure correct commission percentages but did not attempt to verify inclusion of all sales due to lack of access to complete sales data. Exhibit 33, a December 11, 2019 email exchange, showed another instance of delayed reports, including August and July 2018, and her note about two Alex sales she believed were unpaid. She could not recall the source of that information but confirmed she attempted to verify payment on all known sales.
p.150:1-25, p.151:1-25, p.152:1-25, p.153:1-25	The witness affirmed her regular practice was to ensure correct commission percentages on known sales and to raise issues with McNeff when discrepancies arose. Exhibit 34, a February 14, 2018 email, documented her raising December commission issues, including a missing 4% commission on Smart Stat products, a possible free giveaway of a package valued at $345, and missing 2% payments on certain items. She also questioned whether invoices without her name defaulted to a 2% dealer rate. Exhibit 35, a commission schedule prepared by McNeff with her added columns, was introduced; she used such annotated reports to highlight discrepancies and calculated she was shorted $615.42. She explained that the dealer rate question related to system defaults when her name was absent from invoices, and confirmed she sought clarification on whether this reduced her commission entitlement.
p.154:1-25, p.155:1-25, p.156:1-25, p.157:1-25	The witness confirmed that the dealer rate default question referred to a Smart Stat item where she believed she was entitled to 4% but was paid 2%. She stated she sometimes compared commission payments in her bank account to McNeff's reports, doing so four or five times per year, and found they matched 99% of the time when the report was correct. She acknowledged that reports never reflected 2% on dealer sales and that she did not object at the time because she believed she was not entitled to such commissions. She agreed that part of her claim involved direct sales to end users, such as colleges, being misclassified as dealer sales. She confirmed noticing discrepancies when commissions were miscalculated but did not recall ever finding mismatches between correct reports and actual payments.
p.158:1-25, p.159:1-25, p.160:1-25	The witness described preparing a report intended to identify all sales for Fort Atkinson and New York that he believed were improperly classified as dealer sales rather than direct sales. He confirmed that this effort was undertaken in 2020 after receiving the QLIK database, and that the report was provided to "Jack" in connection with his lawsuit against Nasco Healthcare, LLC. He stated that beyond the instances identified in that 2020 report, he did not review QLIK reports or other documents to locate additional misclassifications. Counsel questioned him about his claim that his agreement with Simulaids entitled him to a 2% commission on all sales into his territory, subject to certain exclusions, and whether monthly reports from McNeff reflected all such sales. The witness affirmed his belief that the reports included all sales into his territory, but acknowledged noticing in 2020 that some direct sales had been inaccurately classified as dealer sales. He admitted he did not use the QLIK report to identify all such instances and did not know the approximate gross sales misattributed to dealer sales.

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p.161:1-25, p.162:1-25, p.163:1-25	The witness confirmed that Exhibit 35 represented the sum total of sales by Simulaids and Fort Atkinson into his territory for the relevant month, and that he later became aware of the gross monthly and annual sales figures only upon receiving the QLIK report in 2020. He recalled an email chain with McNeff from May 10, 2018, in which he believed 2016 sales into the northeast territory were around $5 million, and estimated his own territory's sales at approximately $2.5 million annually. He acknowledged that monthly reports from McNeff did not reflect sales approaching that figure, but did not raise the discrepancy with McNeff, assuming his territory was underperforming. He could not recall the gross sales on which he received commissions in 2017 or 2018, but believed 2018 sales came close to $500,000. He stated he did not have personal involvement in each sale listed on Exhibit 35 and did not interact with every customer shown.
p.164:1-25, p.165:1-25, p.166:1-25	The witness reviewed Exhibit 38, an August 13, 2019 email from Ms. Hoenig to McNeff, himself, and Mr. Long, which included an Excel spreadsheet attachment. He believed she had manipulated the spreadsheet to show sales into their territories from New York and Wisconsin for 2017, 2018, and 2019. He did not recall reviewing the spreadsheet in detail or knowing the database source, but assumed it was intended to show territory sales. He acknowledged that, if accurate, the data would reveal total sales from Saugerties and Fort Atkinson into his territory, but he did not use it to verify gross sales figures. He understood that Hoenig was comparing Life/form brand sales to Simulaids brand sales in their territories, possibly to identify sales through Nasco for which they were not credited. He admitted the topic was not of interest to him at the time and did not ask Hoenig or McNeff about the data's origin.
p.167:1-25, p.168:1-25, p.169:1-25	The witness agreed that Hoenig's email indicated she had broken out territory sales from New York and Wisconsin for certain customers over three years, but he did not recall examining the spreadsheet closely. He acknowledged receiving it but did not investigate its source, nor did he share it with McNeff. He confirmed his claim in the lawsuit that his contract entitled him to 2% of all sales into his territory, and recognized that McNeff was copied on Hoenig's email. He did not recall any communications with Hoenig about the report and confirmed Exhibit 40 as a November 30, 2018 email from her providing a list of Alex units sold, along with login credentials for an Alex web page admin portal. He admitted he never used the credentials, citing concerns about possible lack of authorization, and believed his Alex sales were accurately tracked for bonus purposes. He noted that Hoenig's email included a request not to reference the information and a statement that "no one knows I'm sharing this info," which he assumed meant she had obtained it confidentially.
p.170:1-25, p.171:1-25, p.172:1-25, p.173:1-25	The witness stated he was not interested at the time in independently verifying Alex sales figures, trusting the information provided to him. He did not recall communications with Hoenig or Long about the admin page access, nor did he tell Hoenig not to send him unauthorized information. He confirmed knowing "Michelle" referenced in Hoenig's email as Michelle Castleberry, a PCS team member involved in Alex development, and had worked with her at CAE Healthcare. He did not know if she still worked for PCS. He acknowledged that Hoenig may have used admin page access to generate the Alex sales attachment but was uncertain. He confirmed Exhibit 41 as a July 16, 2020 email from Hoenig to himself, McNeff, and Long, responding to a June 3, 2020 email from McNeff, and Exhibit 42 as the QLIK sales information attachment. He recognized Exhibit 42 as the QLIK report he received in 2020, but did not know it had been sent by McNeff to Hoenig. He stated Hoenig had access to QLIK and created reports, while he lacked familiarity with pivot tables and did not know when she first obtained QLIK access.

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p.178:1-25, p.179:1-25, p.180:1-25, p.181:1-25	The witness testified that his access to the QLIK database was provided by CFO John Bohrman. He did not recall discussing Defendant's Exhibit 42, a QLIK report, with Ms. Hoenig or Mr. Long after receiving it, nor did he take any action with the report beyond possibly opening it. He explained that he lacked the skills to manipulate data via pivot tables and likely only reviewed the information as prepared by Angela Hoenig. The witness confirmed that sales region data appeared in Column F of the spreadsheet and could be searched to determine whether sales were in his territory, though he did not recall performing such a search. He acknowledged that Exhibit 47 contained an email from Ms. Hoenig suggesting the report could help identify missing commissions for sales processed through Fort Atkinson, which he understood to refer to the manufacturing location. He confirmed that the spreadsheet included sales processed out of Wisconsin and New York, and that as of July 13, 2020, he had a QLIK report that could have been used to determine whether commissions were paid on Wisconsin-processed sales in his territory, but he did not use it for that purpose at the time.
p.182:1-25, p.183:1-25, p.184:1-25, p.185:1-25	The witness stated that in September or October 2020, he checked products processed through Fort Atkinson against his commission report. Exhibit 43, an August 28, 2020 email from him to Mr. McNeff, was introduced, in which he referenced April and June commission statements and raised two errors regarding missing commissions. He confirmed these errors were not identified through QLIK but later attempted to locate them there. Exhibit 45, a February 14, 2018 email to McNeff, was also introduced, showing he had previously raised three issues and asked a question. He acknowledged that McNeff responded to two of the issues but not the question, prompting his reply that he was "totally confused" about his compensation plan. This confusion arose from his belief that Smart Stat products earned a 4% commission, whereas he learned it applied only to the units, not accessories. He later received clarification and was satisfied with the explanation.
p.186:1-25, p.187:1-25, p.188:1-25, p.189:1-25	The witness confirmed that McNeff had invited him and Ms. Hoenig to review commission reports via Zoom, an offer he believed he accepted, though he did not recall the details of the discussion. He stated such meetings were not regular occurrences, as McNeff typically sent commission schedules without discussion. The witness felt comfortable requesting calls or Zoom meetings when issues arose and believed McNeff was generally available to resolve them. Exhibit 46, an October 22, 2020 email to McNeff and Hoenig, was introduced, in which he expressed confusion over his compensation plan after McNeff's responses to earlier issues. He reiterated that his claim included entitlement to 4% commissions on Smart Stat accessories, though he understood from McNeff's explanation that the higher rate applied only to units.
p.190:1-25, p.191:1-25, p.192:1-25, p.193:1-25	The witness testified that he generally found McNeff's resolutions satisfactory, though not always. Exhibit 47, a January 28, 2021 email exchange, was introduced, showing McNeff sent him a commission schedule for the fourth quarter of 2020, which the witness believed was accurate based on his Salesforce data. He explained that he had begun using QLIK to run subreports by verticals such as business, farm, school, and 1-CM sales into his territory, learning the process independently. He sent these reports to McNeff because they contained healthcare sales into his territory that were not coded to his sales code 700, and he believed he was entitled to commissions on them. McNeff questioned whether the data reflected New York sales, prompting the witness to infer they were not being paid on Wisconsin sales except for certain product lines.

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p.194:1-25, p.195:1-25, p.196:1-25, p.197:1-25	The witness confirmed that by October 29, 2020, he understood from McNeff's email that he would only receive commissions on Wisconsin-processed sales in which he had direct involvement, which differed from his understanding of the commission agreement. He did not challenge this at the time, raising the issue later in a wage claim. He acknowledged that the fourth quarter 2020 commission report sent in January 2021 did not include all Wisconsin-processed sales into his territory, but he approved it knowing that any QLIK data he submitted for missing sales would be rejected based on McNeff's stated position. He explained that although he had the ability to run detailed QLIK reports by vertical, he refrained from doing so in January 2021 because he already knew the outcome would be unfavorable.
p.198:1-25, p.199:1-25, p.200:1-25	The witness described receiving an email from Jack stating that commissions would only be paid if the salesperson was the procuring force behind the sale. He disagreed with Jack's interpretation but did not challenge it in October 2020 due to fear of losing his job. He recalled filing a Texas Workforce Commission wage claim in late 2020, possibly August or September, for less than $10,000, and stated he was not concerned that filing the claim would jeopardize his employment. He explained that he was willing to pursue claims when he had solid proof and knew how to file such claims. Counsel raised an objection to a repeated question about when he first raised the issue of unpaid commissions on Wisconsin sales, and the witness confirmed it was in the October 2020 email previously discussed.
p.201:1-25, p.202:1-25, p.203:1-25	The witness acknowledged that his Texas Workforce Commission claim did not include unpaid commissions from Wisconsin sales, even though he believed those could amount to a larger sum. He explained that he filed the claim before the October 29, 2020 email and was focused on that existing claim rather than initiating a new one. He admitted fear of losing his job was a factor, along with ongoing work on a compensation plan with management. He confirmed receiving QLIK reports from McNeff showing sales from Wisconsin and New York but stated he did not use the report to complain about unpaid commissions. He denied recalling any emails between Mr. Long and McNeff on the subject and said he felt Mr. Long had access to QLIK reports but did not share them with others.
p.204:1-25, p.205:1-25, p.206:1-25	The witness testified that Mr. Long never discussed with him whether commissions should be paid on all Wisconsin-processed sales into their territories prior to filing their cases. He believed QLIK was implemented in 2017 and identified Exhibit 18 as a January 8, 2021 email from McNeff to himself, Ms. Long, and Ms. Hoenig regarding Wisconsin sales. He confirmed disliking the 2021 commission plan because it created a conflict of interest by requiring both direct and distributor sales quotas. He stated he was terminated after failing to reach agreement on a compensation plan following the departure of Matt Long and Angela Hoenig, and that Lee Johnson had become his supervisor in place of McNeff.
p.207:1-25, p.208:1-25, p.209:1-25	The witness explained that after Ms. Hoenig resigned, he anticipated covering the entire U.S. and sought a new compensation agreement to reflect expanded responsibilities. Johnson's April 9, 2021 email asked him to cover certain states for distributor sales calls "for now," which the witness understood as temporary but without additional compensation. He confirmed there was no offer of commissions for sales in the former territories of Long and Hoenig. He believed Nasco intended to hire replacements but was unclear on whether his duties would be limited to distributor calls. He interpreted Johnson's email as referring only to distributor sales calls.

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p.210:1-25, p.211:1-25, p.212:1-25	The witness recalled requesting a meeting with Johnson to discuss reorganization of the direct sales team and division of territories after Angela's resignation. In April 2021, he proposed two compensation options: an increase in base pay plus a percentage of all U.S. sales, or an increase in base pay with a one-year contract and guaranteed payout. Johnson rejected restructuring his compensation or employment terms, proposing instead a short-term arrangement to cover additional states at the same pay until vacancies were filled. The witness agreed Johnson wanted one thing and he wanted another, and neither was willing to compromise. He felt the expanded duties would hinder his ability to earn bonuses under the current plan.
p.213:1-25, p.214:1-25, p.215:1-25, p.216:1-25, p.217:1-25	The witness confirmed he would not perform the additional work without a change in compensation, believing Johnson was altering the 2021 commission plan midstream without notice. He maintained that the plan was contractual and required prior notice—at least 30 days—before changes. He stated that if he did not agree to the plan, his only option was to leave the company. Exhibit 50 was introduced, showing April 7–12, 2021 emails between him and Johnson. In these, he referenced a call with Melissa and McKesson to boost distributor sales, using it as an example of his willingness to help. Johnson reiterated that no additional compensation would be provided for covering Long's and Hoenig's territories, prompting the witness to respond that they should proceed to a termination agreement and severance package.
p.218:1-25, p.219:1-25, p.220:1-25, p.221:1-25	The witness described the circumstances leading to his departure from Nasco Healthcare, LLC, stating that after failing to reach agreement on additional compensation, he told Mr. Johnson they should proceed to a termination agreement and severance package. He acknowledged that he could have accepted the expanded responsibilities and remained employed, but felt that he and others had been pushed out of direct sales roles and needed to take a stand. He confirmed that during an April 8, 2021 email exchange, Mr. Johnson offered him the choice of continuing without extra pay or discussing termination terms. The witness interpreted "termination" as equivalent to being fired, though counsel clarified that Johnson had not explicitly stated he was terminated. Exhibit 51 was introduced, identified as a spreadsheet titled "2017 through 2021 Q1 Stop Financial Damages.XLSX," which the witness confirmed he had prepared himself. He explained that the document reflected his computation of claimed damages against Nasco Healthcare, totaling $498,540 in unpaid compensation.
p.222:1-25, p.223:1-25, p.224:1-25	The witness detailed his methodology for preparing Exhibit 51, starting with filtering the QLIK database to exclude sales prior to his employment, OEM sales, intercompany sales, royalty sales, and education sales. He then sorted data by "ship-to" states corresponding to his assigned territories, noting that his territory expanded in January 2018 to include California and Arizona. He confirmed that he did not exclude dealer and distributor sales because of misclassification issues and his claim to a 2% commission on gross dealer/distributor sales. For Q1 2021, he calculated damages under the old commission plan, asserting that the 2021 plan was invalid due to faulty data, despite having agreed to it during his employment. He stated that he believed the 2019 quota used in the 2021 plan was incorrectly calculated and had raised this with management.

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p.225:1-25, p.226:1-25, p.227:1-25	The witness acknowledged agreeing to the 2021 commission plan to avoid leaving the company but admitted he may have calculated Q1 2021 damages under both the old and new plans. Reviewing Exhibit 51, he confirmed that entries labeled “old plan” were based on the commission structure from 2017–2020, not the plan in effect in 2021. He explained that the $172,769 figure in cell B3 represented total sales coded to region 700 for 2017, though he was uncertain if it included sales from the months before his start date. He had not compared this figure to actual commission reports and agreed that he might have been paid on sales coded differently, such as those processed in Wisconsin without the 700 code. He described subtracting 700 region sales from total sales in QLIK to arrive at his damages figures.
p.228:1-25, p.229:1-25, p.230:1-25	The witness admitted he could have used actual commission reports or payment records to calculate damages but did not have complete records, estimating a 30% reconciliation between QLIK totals and commission reports. He lacked access to all bank statements showing commission deposits and had not requested them from his bank. He confirmed excluding education sales from his calculations, explaining that while there was no product overlap between healthcare and education lines, some customers purchased from both categories. He stated that misclassified direct customers were included in his QLIK data but had not been specifically identified or highlighted. He confirmed that he had produced the manipulated QLIK report used to generate Exhibit 51, though he could not recall the file name.
p.231:1-25, p.232:1-25, p.233:1-25	The witness linked his fraud allegations against Nasco Healthcare to discrepancies between purchase orders and QLIK entries. He cited a Fall Tech PO, believed to be from 2019 or 2020, for 18 units of a Rescue Randy product, while QLIK reflected only three units shipped, leading him to believe he was unpaid for the remainder. He admitted not knowing whether the additional units were actually shipped and stated that reliance on QLIK was problematic, prompting his request for ERP sales data. Another example involved Shasta College, where a PO for one item did not appear in QLIK as shipped. He could identify the PO if needed but did not recall the date. He confirmed no other current fraud claims beyond these examples.
p.234:1-25, p.235:1-25, p.236:1-25, p.237:1-25	The witness testified that he retained counsel in 2021 after leaving Nasco Healthcare, engaging the firm on an hourly basis at a rate of $550 per hour. He stated that only his mediation attorney and Mr. Clark had appeared on invoices, and that he had paid over $50,000 in legal fees to date. The deposition concluded with counsel agreeing to recess and resume at a later date after production of certain recordings from the witness’s computer, with all parties to coordinate a mutually acceptable date for continuation.
p.238:4-25, p.239:1-8	The closing certification section of the deposition was read into the record, noting that the testimony of the previously identified witness had been taken before Carol Connolly, CSR, CRR, and Notary Public, at the location, date, and time earlier specified. It was stated that counsel previously named in the record were present during the proceedings. The witness had been duly sworn prior to examination, and all oral interrogatories, along with the witness’s responses, were recorded in shorthand by the court reporter acting in her dual capacity as stenographer and Notary Public. The certification affirmed that the transcript constituted a true, accurate, and complete record of all questions and answers given at the referenced time and place. It was further noted that, before completion of the deposition, the witness either did or did not request review of the transcript, with any changes made during the allowed period appended to the record if applicable. The reporter confirmed she had no interest in the case and was neither related to nor counsel for any party. The certification concluded with her official signature and seal, dated July 12, 2022, in Cook County, Illinois, along with her professional credentials and contact information.